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Double Eagle IV Information Packet

Packet Summary:

1. March 2022 Internal Formation Memo

   - Seek approval for a new $1 Billion commitment to Double Eagle IV to build a Midland Basin focused E&P company

2. January 2023 Internal Expansion Memo

   - Provide an update on the Double Eagle IV investment and seek approval for a 50% commitment expansion and transfer of expansion to Fund XII

3. January 2024 Internal Update Memo

   - Provide an update on the Double Eagle IV investment and outlook for 2024

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Memorandum

To: EnCap Investment Staff

From: Kyle Kafka, George Purgason, and Connor Michelsen

Date: March 11, 2022

Re: Double Eagle Resources IV, LLC – $1.0 Billion Fund XI Commitment

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The purpose of this memorandum is to provide an overview of Double Eagle Resources IV, LLC ("Double Eagle" or the "Company"), a Fort Worth-based oil and gas company that will pursue the acquisition and development of assets in the Midland and Delaware basins. We propose capitalizing the Company with a $1.1 billion common equity commitment, with Fund XI committing $1.0 billion and Management committing $100 million. After closing, Management will be allowed to raise up to $100 million of friends and family commitments that will reduce Fund XI's commitment on a dollar-for-dollar basis, and an additional $50 million that will serve as an expansion.

Executive Summary

- The Double Eagle management team ("Management") is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Mr. Campbell and Mr. Sellers founded Double Eagle in 2009 with a focus on acquiring and flipping leases in the early days of the shale land grab. From 2009 to 2012 Double Eagle was primarily focused on the Haynesville and Eagle Ford. Double Eagle was one of the first movers in the oil window of the Eagle Ford and sold tens of thousands of acres to Chesapeake, Enduring, and Hilcorp.
- In 2013 Management formed their first Private Equity backed company with Apollo, using a $150 million commitment to acquire leases in the emerging SCOOP play. The team invested a total of ~$96 million to acquire over 10,000 net acres and sold a year later for ~$260 million, realizing a gross 2.7x ROI and 162% IRR.
- Management formed Double Eagle II in 2014 with a focus on the Midland Basin. Over the course of 24 months, Double Eagle leveraged deep industry and in-basin relationships as well as an unparalleled "land machine" to build a position of ~71,000 net acres in the core of the Midland Basin. Double Eagle II invested a total of ~$520 million in the assets, and ultimately sold to Parsley in 2017 for ~$2.8 billion, realizing a gross 3.3x ROI and 95% IRR.
- Following the success of Double Eagle II, Management formed Double Eagle III to re-enter the Midland Basin in 2017. Shortly after formation, Double Eagle III merged with Four Point to form DoublePoint. The team ultimately invested a total of ~$1.8 billion in acquisitions and development capital. Management executed on a sophisticated ground game, closing 78 acreage trades over 50,000 net acres, to create a blocky drill-ready position of ~98,000 net acres in the core of the Midland Basin. The team successfully operated 7 horizontal rigs with 3 frac crews, drilling 266 wells and growing production from 8 MBOED in Q1 of 2019 to 90 MBOED in April of 2021. DoublePoint ultimately sold to Pioneer in May of 2021 for ~$6.4 billion, representing a gross 3.1x ROI and 43% IRR. For more detail regarding Management and the history of Double Eagle please see the attached information packets.
- Management has retained a high-quality team from the previous iteration that will position the Company to both acquire assets and execute on a two-rig development program immediately after closing.
- Double Eagle intends to leverage its industry relationships to create a core acreage position in the Midland and Delaware Basins through acquisitions and acreage swaps. Management will use its proven operating abilities to develop the assets and ultimately create a sizable cash flowing business that will be attractive to buyers in any market environment.
- Double Eagle provides EnCap the opportunity to partner with a high-quality, proven team that shares a congruent mindset with EnCap. **We believe that Double Eagle offers a compelling investment opportunity for Fund XI and recommend capitalizing the Company with a common equity commitment of up to $1.15 billion, consisting of $900 million to $1.0 billion from Fund XI, $100 million from Management, and up to $150 million from Friends and Family.**

Deal Structure

Double Eagle will initially be capitalized with a $1.1 billion common equity commitment, which includes $1.0 billion from Fund XI and $100 million from Management. For up to 90 days after closing, we are allowing Management to raise commitments from Friends and Family of up to $100 million, which will reduce Fund XI's commitment on a dollar-for-dollar basis. Any additional commitments from Friends and Family will be added to the total commitment amount, with a maximum expansion of $50 million.

All capital contributions to the Company will be made on a pro rata basis. Distributions from the Company will be made to Fund XI and Management based on the schedule outlined below.

[redacted]

Deal Considerations

- Based on significant capital committed to the Company, Management has negative control over a significant number of major decisions
- Gives EnCap and Fund XI exposure to a new management team with a long and impressive track record across multiple major resource plays and industry cycles
- Senior management members that are highly regarded and bring a differentiated skillset related to capture and asset development
- Focus is on the most economic areas of the Permian and gives EnCap an opportunity to develop a premier Permian investing platform

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EnCap Investments L.P.

Memorandum

To: EnCap Investment Staff

From: Kyle Kafka, George Purgason, Connor Michelsen and Andrew Perry

Date: January 20, 2023

Re: Double Eagle Resources IV, LLC – $577 Million Gross Commitment Expansion (Up to $492 Million Fund XI Commitment Expansion to then be transferred to Fund XII)

The purpose of this memorandum is to (i) provide an update on Double Eagle Resources IV, LLC ("Double Eagle" or the "Company"), and (ii) seek approval for a $577 million commitment expansion ($450 million net to EnCap).

Executive Summary

- The Double Eagle management team ("Management") is led by Cody Campbell (Co-CEO) and John Sellers (Co-CEO), as well as Blake Carpenter (CCO), Joshua Gregg (CFO), and Garrett Martin (COO). Management has a highly successful track record since inception in 2009, having invested ~$2.4 billion of equity in multiple basins and varying market conditions and realized ~$10.0 billion of asset sales for an average gross equity ROI of 3.1x. A summary of Management's track record can be found in **Exhibit A**.
- In March 2022, Double Eagle was capitalized with a $1.155 billion common equity commitment, including $900 million from Fund XI, $155 million for other investors, and $100 million from Management. To date, the Company has called $700 million of total equity, $546 million from Fund XI. Management has aggregated just over 22,500 net acres in the core of the Permian Basin through numerous acquisitions and trades. In July 2022 Double Eagle initiated a two-rig development program drilling a 12-well pad in Martin County that is expected to be online in January 2023 and plans to add two additional rigs in early 2023. A map of Double Eagle's identified drilling units can be found in **Exhibit B**.
- Double Eagle is also committing $90 million of equity to Brazos Midstream III ("Brazos III" or the "JV") alongside EnCap Flatrock and other investors. Double Eagle will be the anchor tenant and will dedicate all undedicated acres within the Midland Basin to the JV. Brazos III will invest capital to build out its gathering and processing capacity and will aggressively pursue 3rd parties as an attractive alternative to incumbent midstream solutions in the Midland Basin.
- Given the continued capital requirements, Double Eagle is expanding its total commitment by 50% ($450 million net to Fund XI). Due to the capital constraints of Fund XI, the commitment expansion will be transferred to Fund XII upon first close. Additionally, EnCap intends to offer approximately $100 million of the expansion to select EnCap Investors. Fund XI will receive a return of 8% for dollars previously funded. This matter was brought to the Fund XI Advisory Board, who have voted to approve the expansion.
- **In order for Double Eagle to continue executing their strategy of acquiring, trading and developing acreage in the core of the Permian Basin we are increasing Double Eagle's commitment by $577 million.**

Double Eagle IV Commitments

	Current			Pro Forma Expansion			At Transfer Closing	
Members	Commitment	*Ownership (%)*	Upsize	Upsized Commitment	*Ownership (%)*	Transfer	Upsized Commitment	*Ownership (%)*
EnCap Fund XI	**$ 900,000,000**	***78%***	**$ 450,000,000**	**$ 1,350,000,000**	***78%***	**$ (450,000,000)**	**$ 900,000,000**	***52%***
EnCap Fund XII (1)(2)	**-**	***0%***	**-**	**-**	***0%***	**450,000,000**	**450,000,000**	***26%***
Other Investors	154,666,667	*13%*	77,333,333	232,000,000	*13%*	-	232,000,000	*13%*
Management	100,000,000	*9%*	50,000,000	150,000,000	*9%*	-	150,000,000	*9%*
Total	**$ 1,154,666,667**	***100%***	**$ 577,333,333**	**$ 1,732,000,000**	***100%***	**$ -**	**$ 1,732,000,000**	***100%***

1. EnCap intends to offer approximately $100 million of the expansion to select EnCap Investors.
2. Assumes all existing investors participate in the commitment expansion and EnCap only receives it's Pro Rata commitment increase of $450 million.

Activity to Date

Double Eagle has been quick to execute its strategy of leveraging industry relationships to create a core acreage position in the Midland Basin through acquisitions and acreage swaps. Double Eagle's current ~22,500 net acre position was assembled through more than 105 acquisitions and 4 trades with an average transaction size of approximately 215 acres. Roughly 75% of the assembled acreage position is operated and overlays over 400 identified gross drilling locations. The remaining 25% of its position Double Eagle plans to use as trade bait with other operators to build up a more consolidated position that will be more efficient to operate and more valuable to a potential buyer. Double Eagle is continuing to add to their deal pipeline with several thousand acres identified that are strategic to their current position and expected to close in the first several months of 2023. A summary of Double Eagle's current and forecasted Sources and Uses can be seen in the below table:

		Forecast
Uses	**12/31/2022**	**End Q1 2023**
Acreage	$404	$539
Acres	*22,549*	*30,065*
$ / acre	*$17,933*	*$17,933*
PDP	$100	$100
Drilling	$115	$268
G&A / Other	$11	$15
Cash on Hand	$70	$78
Total	**$700**	**$1,000**

Invested Capital	**Year-End 2022**	**End Q1 2023**
EnCap Fund XI	**$546**	**$519**
EnCap Fund XII	**–**	**$260**
Co-investors	$94	$134
Mgmt.	$61	$87
Total	**$700**	**$1,000**
% of Current Commitment	*61%*	*87%*
% of Expanded Commitment	*40%*	*58%*

(1) Does not include projected $7 million of interest accrued to Fund XII.

Double Eagle's first significant acreage acquisition was the Mabee ranch drilling unit from Pioneer Natural Resources in June for $39 million. The drilling unit consists of 1,412 net acres (98% working interest) in the core of Martin County and at purchase was undeveloped and drill-ready. The 23-well development program was initiated with a 12-well pad in July and first production on the initial pad is expected in January of 2023 with the second pad expected to spud in July 2023. After drilling the initial Mabee pad, the two rigs were relocated to Nail Ranch East. The Company is picking up two additional rigs in early 2023 to begin drilling its Prime acquisition in Reagan County. A preliminary forecast for Double Eagle's full current development plan can be found in **Exhibit C**.

In late December 2022, Double Eagle closed on their $161 million acquisition of Moontower which was their first acquisition with significant PDP value and largest single transaction to date. Moontower is a 4,776 net acre position in central Reagan County with 3,954 net undeveloped acres. Current PDP of 2,200 boe/d is valued at ~$100 million implying $15,430 / net undeveloped acre for the undeveloped leasehold which includes 23.5 net locations. Development on Moontower is slated to begin mid-year 2023.

Additionally, Double Eagle is in discussion with Pioneer Natural Resources to trade 50% interest in the Mabee Ranch, which includes the 12 wells expected to be producing at the end of January in addition to the 12 undeveloped locations Double Eagle plans to spud in July. Double Eagle will remain as operator of Mabee Ranch and will receive ~3,500 undeveloped net acres in drill-ready units. Double Eagle and Pioneer will also form several JOAs which will name Double Eagle as the operator of several units where the Company is currently pursuing leases and trades. While this trade will push back the timeframe in which the Company has a substantial production base to help offset its current exposure to acreage, the trade screens to be accretive to valuation through the incremental drilling locations that are unlocked for future development.

Double Eagle's Mabee Ranch position and surrounding acres can be classified as 'Northern Type Curve Area', and the Moontower position and nearby acreage can be classified as 'Southern Type Curve Area'. Northern Area wells are expected to cost ~$9.5 million and indicative EURs of (Oil: 515 Mbo / Gas: 0.6 Bcf / NGL: 130 Mbo) for a 10,000' well. The Southern Area wells are less deep with expected total well costs of ~$9.0 million and are gassier with indicative EURs of (Oil: 403 Mbo / Gas: 2.3 Bcf / NGL: 245 Mbo) for a 10,000' well. A map of Double Eagle's current acreage position can be found in **Exhibit D**. Well economics are encouraging at current commodity prices with both type curve areas expected to have single-well IRRs >50%. A sensitivity table of DROIs for each area can additionally be found below.

Northern Type Curve Area

Discounted ROI

Price Case	EUR (MBo) 412	464	515	567	618
$60.00/$3.00	1.1x	1.3x	**1.4x**	1.6x	1.7x
$70.00/$3.50	1.3x	1.5x	**1.7x**	1.9x	2.1x
Strip (1/5/23)	1.3x	1.5x	**1.7x**	1.9x	2.1x
$80.00/$4.00	1.5x	1.8x	**2.0x**	2.2x	2.4x
$90.00/$4.50	1.8x	2.0x	**2.2x**	2.5x	2.7x

Southern Type Curve Area

Discounted ROI

Price Case	EUR (MBo) 323	363	403	443	484
$60.00/$3.00	1.0x	1.2x	**1.3x**	1.5x	1.6x
$70.00/$3.50	1.3x	1.4x	**1.6x**	1.8x	2.0x
Strip (1/5/23)	1.3x	1.5x	**1.7x**	1.9x	2.1x
$80.00/$4.00	1.5x	1.7x	**1.9x**	2.1x	2.4x
$90.00/$4.50	1.8x	2.0x	**2.3x**	2.5x	2.7x

Brazos Midstream JV

Double Eagle has additionally sourced an opportunity to build a midstream business in the Midland Basin alongside Brazos Midstream III ("Brazos III"). The Brazos Management team has a track record of building assets in the Delaware Basin, having sold its first iteration to Morgan Stanley Infrastructure Partners ("MSIP") in 2018 for $1.75 billion. Brazos Management continues to operate its existing Delaware business but in 2021 came to an agreement with MSIP that allows them to pursue opportunities in the Midland Basin.

Brazos III was formed in 2021 with $150 million from Old Ironsides Energy, Double Eagle Management and Brazos Management. The initial acquisition was a ~20-mile infield gathering system in the Mustang Springs area of Martin County from Diamondback for ~$54 million in November 2021. The 16,000 dedicated acres from Diamondback have 14 years remaining on contract with ~160 wells currently connected and another ~160 wells of remaining inventory.

In order to expand the Midland Basin business, EnCap Flatrock and Double Eagle are committing $230 million and $90 million, respectively, of equity capital alongside the existing investors who are also expanding to bring total equity commitments up to $600 million. Double Eagle will dedicate all current and future undedicated acreage within a defined AMI to anchor the system build-out and will receive rates for gathering and processing that are consistent with the existing market. Double Eagle will invest on the same basis as EnCap Flatrock, Old Ironsides, Brazos Management and Double Eagle Management, however as consideration for the acreage dedication Double Eagle will not be subject to the Brazos Management promote.

The Brazos III business plan calls to expand around their existing system and build up to 600 MMcf/d of processing capacity as an alternative to incumbent midstream solutions. Double Eagle will be the anchor tenant by which Brazos will underwrite the initial 200 MMcf/d plant that will be built in Martin County and will be operational in September 2024. Brazos plans to aggressively pursue 3rd party business and believes their system will be an attractive option for producers who are developing acreage that is undedicated or is rolling off their initial term contracts.

This investment is consistent with EnCap / EnCap Flatrock precedent with upstream participating as a minority investor in midstream assets. Due to the potential for a conflict of interest related to the cross-fund investment, this matter was brought to the Fund XI Advisory Board who voted in approval of the investment. For an asset map of Brazos Midstream III please see **Exhibit E**.

Commitment Expansion

The commitment expansion would be a 50% increase of the current commitment offered to all parties ($577 million total, $450 million from Fund XI, $50 million from Management and $77 million from other investors). Upon first closing of Fund XII, all of Fund XI's commitment expansion would be transferred to Fund XII. EnCap also intends to offer approximately $100 million of the expansion to select EnCap Investors. Existing capital in the Company has only been invested for a weighted average of less than 3 months (inclusive of $250 million funding due December 16th). Fund XI will receive a return of 8% for dollars previously funded. Due to the potential for a conflict of interest related to the cross-fund investment, this matter was brought to the Fund XI Advisory Board who voted in approval of the investment.

In order to fully capitalize on Double Eagle's opportunity set and build an acreage position that can generate the highest returns, we are expanding the Company's commitment by $577 million.

<u>Exhibit A – Double Eagle Track Record</u>

- The Double Eagle team brings a differentiated skillset in building premium Permian Basin assets
- Realized ~$10 Billion of Asset Sales over the Last 8 Years with an Average MOIC over 3.0x
- Over the last 8 years the Double Eagle team has invested a total of ~$2.4bn of equity and has returned ~$7.4bn for an average 3.0x MOIC(1)

Double Eagle I

Northern Anadarko Basin
2013 - 2014

- Invested a total of ~$96MM
- Sold majority of assets in November 2014 for ~$260MM total consideration
- Realized a 2.7x MOIC and 162% IRR(2)

Double Eagle II

Midland Basin
2014 - 2017

- Invested a total of ~$520MM
- Sold majority of assets to Parsley Energy in April 2017 for ~$2.8Bn(3) total consideration
- Realized a 3.3x MOIC and 95% IRR

Double Eagle III / DoublePoint

Midland Basin
2017 - 2021

- Invested a total of ~$1.8Bn (DE III ~$1.1Bn)
- Sold majority of assets to Pioneer Natural Resources in May 2021 for ~$6.4Bn(4) total consideration
- Realized a 3.1x MOIC and 43% IRR

Note: Represents gross returns. Assumes public shares sold at closing pricing.

1. Includes additional capital invested in DoublePoint Energy, LLC.
2. Includes $55MM of assets contributed to DE II and $7.5MM of assets sold to White Star Energy.
3. Includes $1.7bn of capital returned net to DE II's interest.
4. Includes $3.2bn of capital returned net to DE III's interest.

Exhibit B – Double Eagle's Identified Drilling Units

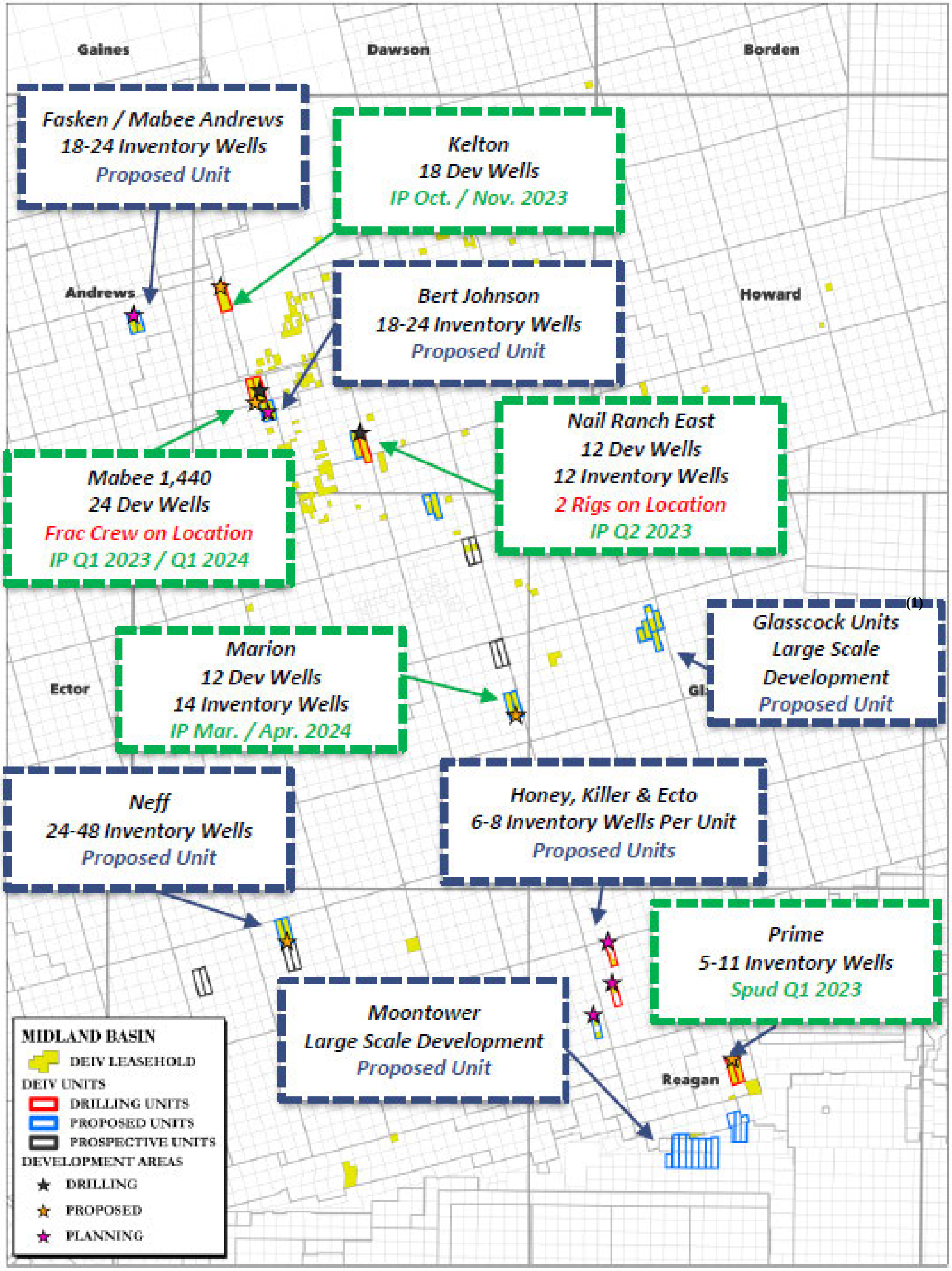


Exhibit C – Double Eagle Preliminary Development Plan

($ in millions) ($70 / $3.50 Flat Price Deck)

	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	2022	2023	2024	2025
Net Production																	
Oil (Mbbl)	8	492	862	1,148	2,413	2,643	2,923	3,077	3,230	3,343	3,503	3,646	3,767	14	4,914	11,874	14,259
Natural Gas (MMcf)	7	572	883	1,180	2,246	2,757	3,222	3,593	3,919	4,167	4,498	4,815	5,096	9	4,881	13,491	18,576
NGL (Mbbl)	1	97	157	217	432	536	630	705	771	822	889	952	1,009	3	903	2,642	3,672
Mboe	**11**	**685**	**1,166**	**1,561**	**3,219**	**3,639**	**4,089**	**4,381**	**4,654**	**4,860**	**5,141**	**5,401**	**5,625**	**17**	**6,631**	**16,764**	**21,027**
(Boe/d)	*116*	*7,607*	*12,816*	*16,971*	*34,991*	*39,985*	*44,939*	*47,622*	*50,591*	*53,996*	*56,494*	*58,708*	*61,140*	*47*	*18,168*	*45,802*	*57,607*
Revenue																	
Oil	$1	$34	$60	$80	$169	$185	$205	$215	$226	$234	$245	$255	$264	$1	$344	$831	$998
Natural Gas	–	2	4	5	11	13	15	17	19	20	22	23	25	0	22	65	90
NGL	–	1	1	2	3	4	5	5	6	6	7	7	8	–	7	20	28
Total Revenue	**$1**	**$38**	**$66**	**$87**	**$183**	**$202**	**$225**	**$238**	**$251**	**$260**	**$274**	**$286**	**$296**	**$1**	**$374**	**$916**	**$1,116**
Operating Expense																	
LOE	($0)	($5)	($7)	($9)	($17)	($18)	($20)	($22)	($23)	($24)	($25)	($27)	($28)	($0)	($37)	($83)	($104)
Production & Ad Val Tax	–	(2)	(4)	(6)	(12)	(13)	(14)	(15)	(16)	(17)	(18)	(19)	(19)	(0)	(23)	(58)	(72)
Total Operating Expense	**($0)**	**($7)**	**($11)**	**($14)**	**($28)**	**($31)**	**($34)**	**($37)**	**($39)**	**($41)**	**($43)**	**($45)**	**($47)**	**($0)**	**($60)**	**($141)**	**($176)**
G&A	*($4)*	*($4)*	*($4)*	*($4)*	*($4)*	*($5)*	*($5)*	*($5)*	*($5)*	*($5)*	*($5)*	*($5)*	*($5)*	*($13)*	*($17)*	*($19)*	*($19)*
EBITDAX	**($4)**	**$27**	**$50**	**$69**	**$150**	**$167**	**$186**	**$197**	**$207**	**$215**	**$226**	**$236**	**$244**	**($12)**	**$296**	**$756**	**$921**
Capex																	
D&C	($80)	($137)	($195)	($252)	($233)	($265)	($172)	($172)	($172)	($172)	($172)	($172)	($172)	($115)	($818)	($781)	($688)
Land Acquisition	(212)	(75)	(50)	–	–	–	–	–	–	–	–	–	–	(434)	(125)	-	-
Oil & Gas Property / Midstream	(100)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(8)	(100)	(30)	(30)	(30)
Total Capex	**($391)**	**($220)**	**($253)**	**($259)**	**($241)**	**($272)**	**($179)**	**($179)**	**($179)**	**($179)**	**($179)**	**($179)**	**($179)**	**($649)**	**($973)**	**($811)**	**($718)**
Unlevered FCF	**($395)**	**($193)**	**($202)**	**($190)**	**($91)**	**($106)**	**$6**	**$17**	**$28**	**$36**	**$47**	**$57**	**$65**	**($660)**	**($676)**	**($54)**	**$204**
Capitalization																	
Equity Contribution	$390	$193	$202	$190	$91	$106	–	–	–	–	–	–	–	$640	$676	$106	–
Cumulative Equity Contribution	*$640*	*$833*	*$1,036*	*$1,226*	*$1,317*	*$1,422*	*$1,422*	*$1,422*	*$1,422*	*$1,422*	*$1,422*	*$1,422*	*$1,422*	*$640*	*$1,317*	*$1,422*	*$1,422*
RBL Debt	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
Ending Cash Balance	–	–	–	–	–	–	$6	$24	$51	$87	$134	$190	$255	–	–	$51	$255

Exhibit D – Double Eagle Midland Basin Acreage Position & Type Curve Areas

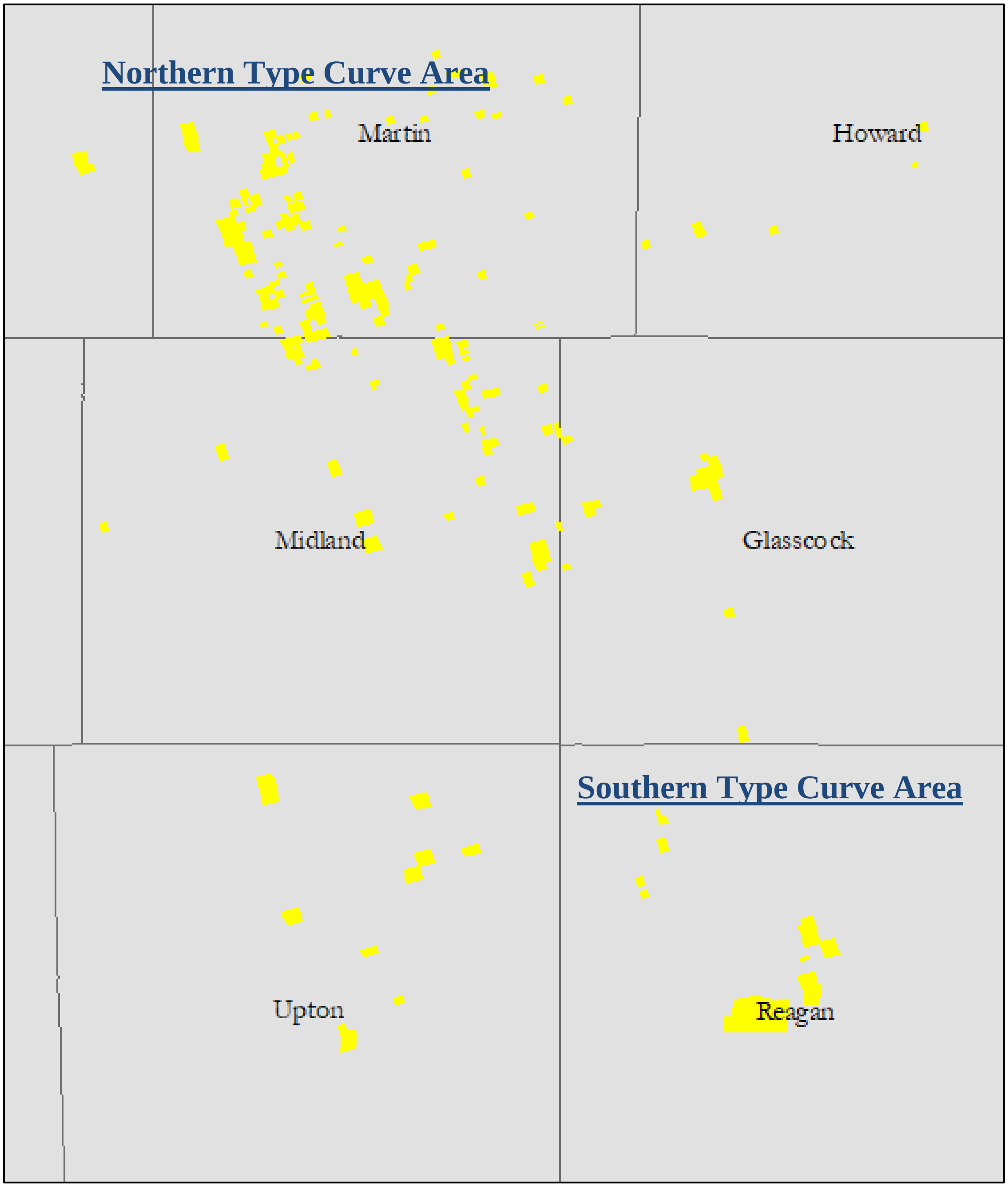
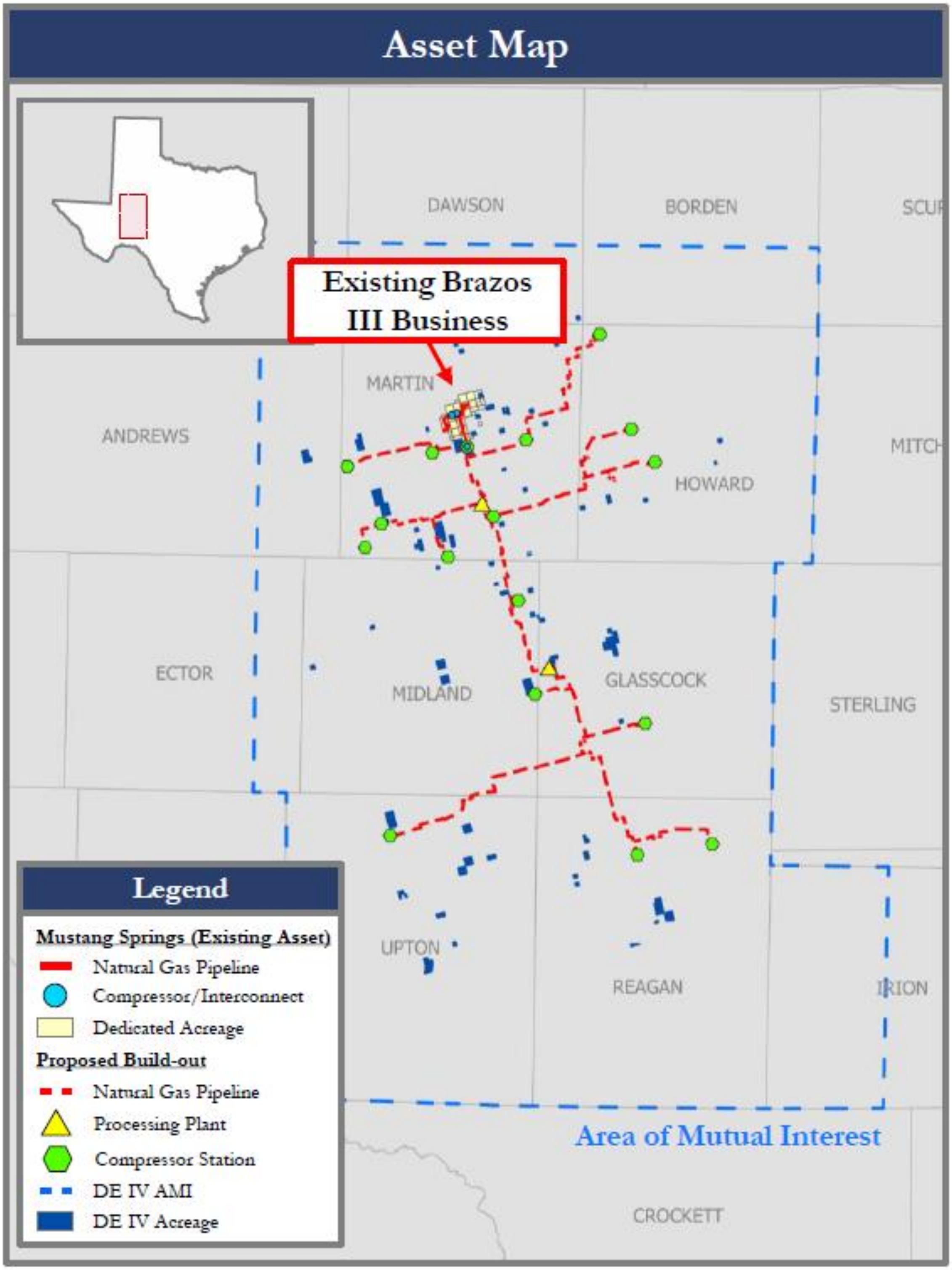


Exhibit E – Brazos Midstream III Asset Map



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Memorandum

To:	EnCap Investment Staff
From:	Kyle Kafka, George Purgason, Connor Michelsen and Andrew Perry
Date:	January 31, 2024
Re:	**Double Eagle Resources IV, LLC – Company Update**

The purpose of this memorandum is to provide an update on Double Eagle Resources IV, LLC ("Double Eagle" or the "Company").

Executive Summary

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- In March 2022, Double Eagle was initially capitalized with a $1.155 billion common equity commitment, including $900 million from Fund XI, $155 million from other investors, and $100 million from Management. In late 2022 it became clear that the opportunity set would exceed the commitment level, so the decision was made to expand Double Eagle's commitment by 50%. Because Fund XI had no further commitment available, Fund XII was assigned $350 million of the commitment expansion and $100 million was assigned to a group of EnCap co-investors.
- As of year-end 2023, the Company has called $1.3 billion of total equity and has drawn $50 million from a $200 million RBL. The company expects to fund its development program with incremental bank debt as the facility expands with production and PDP reserve growth. There is currently $430 million of equity commitment available providing liquidity to pursue future accretive deals and ensure a low leverage capital structure.
- To date, Double Eagle has aggregated ~50,000 net acres in the Midland Basin representing >1,000 drilling locations with compelling returns. The acreage footprint was assembled through over 330 lease level acquisitions and more than 15 strategic trades. Double Eagle is running a five-rig development program and is producing over 25 Mboe/d, with hard value at year-end 2023 of ~$1 billion. A map of Double Eagle's identified drilling units can be found in **Exhibit A**.
- Since initiating development in 2Q 2022, Double Eagle has drilled over 100 horizontal wells and completed and brought online 70 of these wells, achieving a 1.95x DROI in the northern type curve area and 1.73x DROI in the southern type curve area. Recoveries have been consistent with underwriting type curves and costs have met or beat AFE estimates. We expect execution to remain on target for 2024 with multiple high value pads coming online, costs trending downward due to a more favorable service environment, and operating efficiencies. To date, Double Eagle has spent $625 million of drilling capital to produce $245 million of cash flow and create ~$1.0 billion of hard value.
- In 2024 the company plans to continue running 5 rigs in order to grow production and producing reserve value. 2024E EBITDA is expected to be greater than $650 million and the Company expects to be cash flow positive in the fourth quarter of this year. The team also continues to identify new acquisitions and trades to bolster the Company's depth of high-quality inventory. Towards YE 2024 we expect the Company will represent a compelling combination of cash flow and inventory that will be coveted by the market.
- 2023 was an active year for Midland Basin transactions with several notable deals transacting that are strong comps for Double Eagle, including EnCap Northern Midland Basin, Hibernia, Vencer, CrownQuest, and Pioneer. These deals transacted at an average of 3.6x forward EBITDA and $2-$4 million per location. These metrics would imply a valuation in excess of Double Eagle's latest quarterly valuation mark. See **Exhibit B** for an overview of the relevant transaction comps. We are highly optimistic on Double Eagle's operations going forward and the potential for substantial value creation.

Company Overview and Outlook

As of year-end 2023, the Company has called $1.3 billion of total equity and has drawn $50 million from a $200 million RBL. Double Eagle has successfully grown hard value to ~$1.0 billion ($880 million of PDP / $115 million of drilled wells waiting on completions) through highly economic drilling, substantially de-risking the investment. The Company also retains >1,000 high quality development locations, which gives Double Eagle ample room to continue developing the asset and growing production at the current pace. This very attractive inventory is highly coveted in the current market, and when combined with the substantial cash flow from existing production, will create an attractive acquisition candidate.

The Company also holds a 15% JV interest and is the anchor tenant in Brazos Midstream III ("Brazos"), an EnCap Flatrock portfolio company. Since formation of the JV in December of 2022, Brazos has been successful in adding dedicated customers to both its current midstream system and its future processing plant which is expected to be operational in Q3 2024. Brazos will continue to pursue additional customers in the basin, taking advantage of legacy dedications that are close to expiration, and expects significant volume growth. Double Eagle has invested $30mm to date in Brazos.

Capitalization & Remaining Commitments

	Commitment	Invested	Remaining
EnCap Fund XI	$900	$676	$224
EnCap Fund XII	350	263	87
EnCap Co-Investors	100	75	25
Other Investors	232	174	58
Mgmt	150	113	37
Total Equity	**$1,732**	**$1,300**	**$432**
RBL	200	50	150
Total Capitalization	**$1,932**	**$1,350**	**$582**

Key Metrics

Net Acres	~50,000	2024E EBITDA ($MM)	>$650
Daily Production (MBoe/d)	>25	Current Rigs Running	5
% Oil	*75%*	Remaining Locations	>1,000
Hard Value ($MM)	~$1,000	*Op Loc. Drilled*	*101*

Double Eagle plans to continue running a 5-rig development program in 2024 in order to grow production, further de-risk the asset, and create a free cash flow generating business. Execution of this development program is expected to more than double production from 25 MBoe/d today to 60 - 70 MBoe/d by year end and grow EBITDA from $650 million in 2024 to $1.0+ billion in 2025. The Company will fund projected outspends with debt, while keeping leverage modest (~0.5x EBITDA), and currently expects to generate positive free cash flow by Q4 of this year. Management also continues to see select acquisition and trade opportunities to backfill additional locations as they are consumed through the development program. As the Company continues to mature in 2024 EnCap and Management will monitor market conditions and potentially explore a monetization in the back half of the year. It is important to note that capital plans and future projections are subject to change based on market conditions.

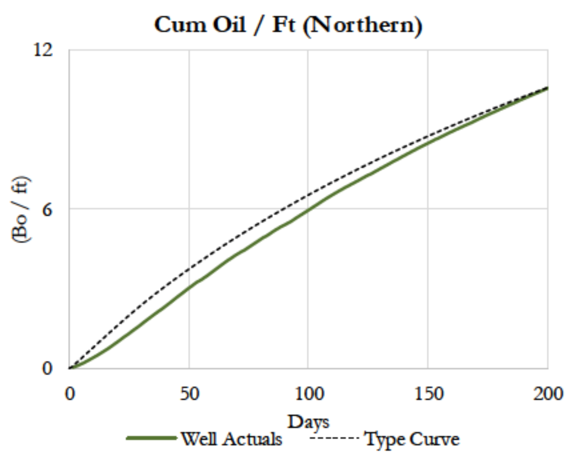
Numerous large-scale transactions occurred in the Midland Basin in 2023 that highlighted the premiums paid for large assets with high-quality inventory. These deals transacted at an average of 3.6x forward EBITDA and $2 - $4 million per location. See **Exhibit B** for an overview of the relevant transaction comps. The Double Eagle assets compare favorably to recent transactions due to it's similar scale and highly coveted combination of cash flow, production, and high-quality inventory. As of 9/30/2023 Double Eagle is marked at a 1.1x ROI based on EnCap's standard reserve-based valuation methodology. We believe the Company has significant room to outperform this mark given the latest transaction comps and Management's ability to execute on growth through future development. Ultimately, Double Eagle will work towards an exit into favorable market conditions where assets such as these are scarce.

Development Overview

Double Eagle stood up two rigs immediately after their initial acquisition in April of 2022, drilling a 12-well pad in Martin County, Texas. Over that time, the team has added an additional 3 rigs, and has successfully executed on a 5-rig development program. Since inception, the team has drilled more than 100 horizontal wells and completed and brought online over 70 of these wells. Operations have exceeded expectations, as well costs have been in line to under AFE, drilling pace has increased by >25%, and completion costs have been optimized through the use of simulfracs and modern completion designs. Double Eagle additionally expects lower well costs going forward from a combination of raw material costs decreasing and the utilization of electric-powered completions.

Northern Type Curve Area

Well performance in the Northern portion of the asset (Midland and Martin Counties) has been in-line with underwriting expectations, yielding economic results. The team has brought 52 wells to production, with an average EUR of 50 bo/ft and a 1.95x DROI. See below for a summary of well results in the Northern type curve area:



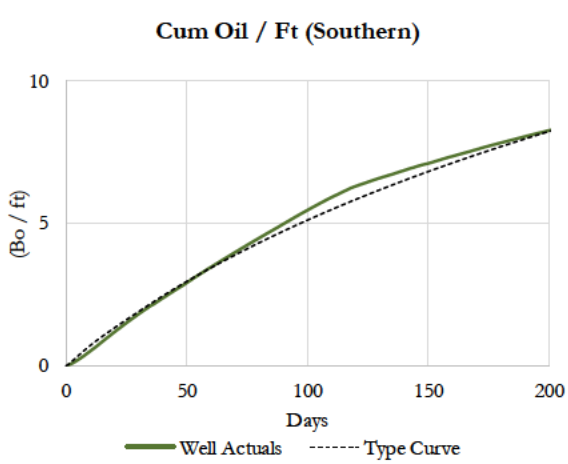
Pad	Wells TIL	Bo/ft	CAPEX/ft	IRR	DROI
KELTON	17	46	$834	74%	1.86x
MABEE_W2	11	52	$873	66%	1.85x
MABEE_E2	12	57	$810	78%	2.15x
NAIL_E2	12	48	$754	60%	1.99x
Northern Average	**52**	**50**	**$818**	**70%**	**1.95x**
Northern Type Curve		***50***			

IRR & DROI shown at $75 / $3.50 Flat Price Deck.

Note: Only wells with enough production history to forecast well results shown

Southern Type Curve Area

On average, well results in the Southern portion of the asset (Reagan County) have been in-line with underwriting expectations. The team has brough 17 wells to production, with an average EUR of 38 bo/ft and a 1.73x DROI. The initial pad in this area, Prime, was drilled directly offsetting a densely developed legacy pad by an offset operator. As such, these wells have underperformed the standard Southern type curve, but are in-line with expectations for child well development in this portion of the asset. It is worth noting that Double Eagle does not believe any more inventory in Reagan county will see this much depletion risk, and further development activity is expected to achieve results similar to the Pink Floyd and Wooderson pads (Avg: 44 bo/ft and a 1.9x DROI).



Pad	Wells TIL	Bo/ft	CAPEX/ft	IRR	DROI
PINK_FLOYD_W2	5	51	$724	101%	2.32x
PRIME	5	24	$880	30%	1.33x
WOODERSON_E2	7	38	$743	51%	1.60x
Southern Average	**17**	**38**	**$778**	**59%**	**1.73x**
Southern Type Curve		***40***			

IRR & DROI shown at $75 / $3.50 Flat Price Deck

Note: Only wells with enough production history to forecast well results shown

Exhibit A – Double Eagle's Identified Drilling Units

Exhibit B – Midland Basin Transaction Comps

2023 Midland Asset Sale Transaction Comps

			Cash Flow Value		Production Value			Undeveloped Value	
Transaction	**Announcement Date**	**Txn Value ($MM)**	**NTM EBITDA ($MM)**	**EBITDA Multiple**	**Production (Mboe/d)**	**PDP Value[(1)]**	**$ / Boe / d**	**Location Count[(1)]**	**$ / Location ($MM)**
Ovintiv / EnCap NMB	Apr-23	$4,275	$1,500	2.9x	75	$2,716	$36,213	718	$2.2
Civitas / Hibernia	Jun-23	$2,250	N/A	N/A	41	$1,366	$33,317	239	$3.7
Civitas / Vencer	Oct-23	$2,114	$754	2.8x	55	$1,702	$30,945	350	$1.2
Exxon / Pioneer	Oct-23	$64,500	$10,750	6.0x	710	$31,903	$44,934	7,400	$4.4
OXY / CrownQuest	Dec-23	$12,000	$2,380	5.0x	170	$6,768	$39,812	1,700	$3.1
Transaction Averages [(2)]			*Avg. EBITDA Multiple:*	***3.6x***		*Avg. $ / Boe / d:*	***$35,072***	*Avg. $ / Loc:*	***$2.5***

(1) Transaction comps PDP Value and Location Count based off of Enverus Deal Insights.

(2) Transaction Averages excludes Exxon / Pioneer to only show transactions in which a private company was the seller.

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Sam Sam
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